3. Q - Factor

A Q - factor is the cost of items that is needed in addition in the production and service of a dish. The common Q- factors are salt, pepper, sugar, sauce, ketch-up, other accompaniments and also the waste that ends up from over production. Q – factor add up to 10 percent to the food cost.

2.4.2 Cost components

In a food service establishment three types of costs are involved. They are

1. Material costs
2. Employee costs and
3. Overhead costs

Material costs

Material costs include raw foods and other ingredients that make up a dish. Materials fall under two categories namely,

- Direct materials
- Indirect materials

The direct materials are the items used in production and service of a dish. Indirect materials are used in production process, but not related directly to the prepared dish. Linen, kitchen clothes, cleaning materials are some of the indirect materials. It is necessary to consider both direct and indirect materials while calculating food cost.

Employee costs

Employee cost is the next cost component. It encompasses the remuneration of employees and the benefits rendered to them like food, lodging, uniforms, insurance, incentives, pension, bonus, medical benefits, overtime work and others.

Overhead costs

Overhead cost, the third component of cost is the operational cost not related to the material and labour cost. It includes rent, fuel, depreciation, selling costs, travelling expenses, insurance, legal fees, telephone bills, taxes, accounting fees.

Along with these components, the behaviour cost should be considered.

2.4.3 Behaviour of cost

Cost behaviour is the sensitivity of costs to the changes in volume of sales. The three main types of costs according to cost behaviour are

- Fixed costs
- Variable costs
- Semi – fixed or semi – variable or mixed costs

Fixed costs

Fixed costs do not vary with the volume of sales, within a relevant range. Rent, property taxes, insurance premiums are some fixed costs. However fixed costs might change over time, normally after a long term.

Variable costs

Variable costs vary directly in proportion with the volume of sales. These include food costs, beverage costs.

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